or should we prescribe when funds should use net asset value, total investments, net exposure, or total exposure? If we prescribe the basis of presentation, how should we determine which type of fund uses which type of presentation?

83. For funds that depict portfolio holdings according to credit quality, we are proposing to require that a fund briefly describe how the credit quality of its holdings was determined and, if credit ratings are used, the fund must concisely explain why it selected a particular credit rating. Is this additional disclosure about credit quality necessary and/or useful? If so, why? Would funds be able to succinctly provide this information? If not, why not?

84. Should we expressly permit or require other types of presentations, such as top 10 holdings or changes in holdings over time? If so, what types of presentations and why? If not, why not?

85. Should we permit or require other ways of presenting a fund's holdings? For example, instead of or in addition to the graphical representation of holdings, should we require disclosure of a fund's top holdings or a complete schedule of investments in the annual report? If so, what types of presentations should we require and why?

86. Should we consider any other changes to the graphical representation of holdings requirements?

f. Material Fund Changes

We propose to add a new section to the annual report to describe material changes to the fund. Specifically, a fund would have to describe briefly any material change in an enumerated list of items (as well as any other material change that the fund chooses to disclose) that has occurred since the beginning of the reporting period or that the fund plans to

make in connection with its annual prospectus update.[271] This proposed requirement is designed to highlight for fund shareholders the most salient information they typically receive through annual prospectus updates and tailor the presentation of this information to these existing shareholders' needs (as opposed to the needs of new or prospective investors for whom prospectus disclosure is primarily designed). We believe this new shareholder report disclosure would allow shareholders to better recognize and understand material changes to their fund investment, which may inform a shareholder's future investment decisions (*i.e.*, whether to hold or sell the fund investment, or to purchase additional shares).

Under the proposal, a fund would be required to include disclosure in its annual report that briefly describes a material change with respect to any of the following items:

- A change in the fund's name (as described in Item 1(a)(1) of Form N-1A);
- A change in the fund's investment objectives or goals (as described in Item 2 of Form N-1A);
- An increase in the fund's ongoing annual fees, transaction fees, or maximum account fee (as described in Item 3 of Form N-1A);[272]

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[271] *See* proposed Item 27A(g) of Form N-1A; *see also supra* footnote 20 (recognizing that funds generally must transmit annual reports within 60 days after fiscal year-end and funds' annual prospectus updates are typically finalized within 120 days after fiscal year-end) and *infra* paragraph accompanying footnote 287 (discussing the annual report disclosure of material changes the fund plans to make in connection with its annual prospectus update).

[272] *See infra* Section II.H (discussing proposed amendments to Item 3 of Form N-1A). The proposed rule would only require funds to disclose material increases to the fund's ongoing annual fees, transaction fees (*e.g.*, purchase charges or exit charges), or maximum account fee because we believe shareholders would be more interested in investment cost increases, rather than decreases. A fund may, however, voluntarily disclose material decreases to its fees and expenses in its annual report.

- A change in the fund's principal investment strategies (as described in Item 4(a) of Form N-1A);[273]
- A change in the principal risks of investing in the fund (as described in Item 4(b) of Form N-1A);
- A change in the fund's investment adviser(s), including sub-adviser(s) (as described in Item 5(a) of Form N-1A);[274] and
- A change in the fund's portfolio manager(s) (as described in Item 5(b) of Form N-1A).

Additionally, a fund could include any other material fund change that it would like to disclose to its shareholders.[275]

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[273] Under Investment Company Act rule 35d-1, a fund with a name that suggests investments in certain industries, investments, countries, or geographic regions generally must have a policy to invest at least 80% of the value of its assets in the relevant investments that its name suggests (a "names rule investment policy"). This names rule investment policy is part of the fund's principal investment strategy. Under rule 35d-1, a fund must provide shareholders with at least 60 days prior notice of any change to its names rule investment policy under certain circumstances. *See* rule 35d-1(a)(2)(ii), (a)(3)(iii), and (c) [17 CFR 270.35d-1(a)(2)(ii), (a)(3)(iii), and (c)]; Request for Comments on Fund Names, Investment Company Act Release No. 33809 (Mar. 2, 2020) [85 FR 13221 (Mar. 6, 2020)].

If, under the proposed requirement to disclose certain material fund changes in the annual report, the fund provides notice of a change to its names rule investment policy, that notice would satisfy the requirements of rule 35d-1 if: (1) the annual report is provided to shareholders at least 60 days before the fund changes its names rule investment policy; (2) the annual report contains the statement required by rule 35d-1(c)(2) (*e.g.*, "Important Notice Regarding Change in Investment Policy"); (3) and the envelope in which the shareholder report is delivered (if applicable) has this same statement, as required by rule 35d-1(c)(3).

[274] The proposal would not require a fund to disclose a change in a sub-adviser where Item 5 of Form N-1A would not require the fund to disclose the name of the sub-adviser in its prospectus. *See* Instructions 1 and 2 to Item 5 of Form N-1A.

[275] For example, a fund may wish to disclose in its annual report plans to liquidate or merge the fund, even if previously disclosed to shareholders.

This item would notify fund shareholders of material changes to the fund that have occurred or that the fund expects to make in its forthcoming annual prospectus update. Currently, fund shareholders typically receive information about these changes in: (1) annual prospectus updates; or (2) other prospectus updates they may receive throughout the year (which can take the form of a prospectus "sticker" or an updated copy of the fund's prospectus or, under the proposal, a notice of material change under proposed rule 498B).[276] While fund shareholders receive information about material changes today, we are concerned that material changes to a fund may not always be readily apparent to an existing shareholder. For example, changes that the annual prospectus update discusses may not be easy for an average shareholder to identify, as there is no requirement for a fund to identify or highlight changes to the fund in its prospectus.[277] Instead, a fund only has to update the prospectus disclosure to reflect the substance of the change. For example, if a fee has changed, the

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[276] *See supra* footnote 13 and accompanying text; Comment Letter of Investment Company Institute (Oct. 1, 2019) ("ICI Comment Letter II") (stating that respondents to an ICI member survey indicated that they primarily mail prospectus stickers to inform shareholders of material changes to the portfolio manager, material increases in fees, material (but nonfundamental) changes to the fund's investment objectives or strategies, changes to subadvisory agreements or subadvisers, changes in the fund's index or benchmark, changes to the fund's name, or planned fund mergers or liquidations). *See also infra* Section II.F.3.b (discussing proposed rule 498B's notice requirement).

[277] This also may be the case when a fund delivers an updated version of its prospectus to reflect material or other changes at other times throughout the year. However, a prospectus sticker that a fund instead may deliver for the same purpose typically would identify a change more explicitly.

Some other types of registered investment companies currently are required to identify certain changes in their shareholder disclosure materials. *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27 (requiring updating summary prospectuses for variable contracts, which provide a brief description of any important changes with respect to the contract that occurred within the prior year to allow investors to better focus their attention on new or updated information relating to the contract); rule 8b-16(b) under the Investment Company Act (requiring certain registered closed-end funds to identify specific types of material changes in their annual reports).

prospectus disclosure would include the new fee, but the prospectus would not have to disclose the old fee or highlight that the fee had changed. Thus, we believe the proposed requirement to disclose material fund changes in the annual report may increase the salience of material fund changes for shareholders and help shareholders more efficiently monitor and assess their fund investments relative to current disclosure requirements.

The categories of fund changes that we propose to require funds to disclose in their annual reports are meant to capture the types of material changes to prospectus disclosure that we believe are important to fund shareholders, that may influence their investment decisions, and that are more likely to occur. Specifically, the types of material changes that a fund would need to disclose in its annual report generally align with the key prospectus disclosure items the Commission requires in summary prospectuses (and in the summary section of statutory prospectuses) that we understand investors typically use to make investment decisions.[278] We believe the annual report should help a shareholder monitor and assess his or her fund investment, which includes information to help a shareholder assess whether to maintain or change a fund investment. Because we understand that investors often use information about a fund's principal investment strategy, principal risks, fees, investment objectives or goals, name, investment adviser, and portfolio manager to inform initial investment decisions, we believe that material changes to these items may affect a shareholder's assessment of whether to hold, buy, or sell fund shares.[279] In addition to the identified types of changes, funds could

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[278] *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at n.35 and accompanying text; *see also* Arnold Comment Letter; Baker Comment Letter; Dougle Comment Letter; Freeland Comment Letter; Wilhelm Comment Letter.

[279] *See supra* footnote 278; What US Households Consider When They Select Mutual Funds, 2018, ICI Research Perspective (May 2019), *available at* https://www.ici.org/pdf/per25-03.pdf.

disclose other material changes on a discretionary basis, which we believe would provide flexibility to funds to highlight any additional material changes for investors concisely. Instead of identifying the types of material changes a fund must disclose and providing flexibility for funds to disclose other material changes, we considered proposing a more principles-based approach.[280] However, we believe that our proposed approach would provide more certainty to funds about the types of changes they must disclose and enhance consistency of annual report disclosure across funds.

Under the proposal, a fund would not be required to disclose material changes to other summary prospectus items (or to the corresponding items in the summary section of the statutory prospectus) because either they are unlikely to change, and we believe they are less likely to affect a shareholder's investment decisions (*e.g.*, tax information or financial intermediary compensation), or the shareholder report already provides similar information (*e.g.*, performance information). Additionally, information about shareholder voting results would not be required to be disclosed in the annual report because we believe that the material fund changes section of the report would reflect many of the types of material fund changes that may result from a shareholder vote.[281] For example, if shareholders approve a change in the fund's concentration policy, implementing this change would likely affect the fund's principal investment strategy and principal risks and warrant shareholder report disclosure of the associated change to the fund's principal investment strategy and principal risks. Further, if shareholders approve a new investment advisory contract with a higher management fee,

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280 For example, we considered an approach that would direct funds to disclose all material changes, without identifying the categories of material changes they would need to disclose.

281 *See infra* Section II.D.1.d.

this would likely increase the fund's ongoing annual fees and would trigger disclosure under this item if the resulting increase was material.

A fund would be required to disclose a change in its annual report only if the change is material to the particular fund. A fund should base this materiality determination on the facts and circumstances of the fund and the specific change. For example, an index fund might determine that a change in its portfolio manager is not a "material" change that it would need to disclose in its annual report, given the nature of the manager's involvement in portfolio decisions for the fund. At the same time, a fund that changes its principal investment strategy from primarily investing in U.S. investment-grade bonds to primarily investing in emerging market high-yield bonds would disclose this change in its annual report, as well as through earlier communications to shareholders if the change already occurred.[282]

To help shareholders understand the material changes, a fund would have to provide a concise description of each change that provides enough detail to allow shareholders to understand the change and how it may affect shareholders.[283] For example, this could include stating that the fund's ongoing annual fees have increased from 0.55% to 0.65%, rather than simply stating that the fund's ongoing annual fees have changed or increased. As another example, if a fund's principal risks have materially changed, it could identify the newly identified or newly removed types of principal risks, rather than only stating that the principal risks have changed.

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[282] These earlier communications may include, for example, notices about a change in the fund's names rule investment policy, prospectus stickers, or notices under proposed rule 498B. *See, e.g.*, *supra* footnotes 273 and 276 and *infra* Section II.F.3.b.

[283] *See* Instruction 1 to proposed Item 27A(g).

Disclosure of material fund changes in the annual report would include a legend to the effect of the following:

> This is a summary of certain changes [and planned changes] to the Fund since [date]. For more complete information, you may review the Fund's next prospectus, which we expect to be available by [date] at [website address] or upon request at [toll-free telephone number and, as applicable, email address].[284]

The proposed legend would inform shareholders that they can obtain more information about a specific material change by consulting the fund's next annual prospectus update. It also would explain how shareholders may find or request a copy of the annual prospectus update once it is available.

Under the proposed rule, funds generally would be required to disclose any enumerated material change that occurred since the beginning of the fund's most recently completed fiscal year, even if the fund already disclosed the material change to shareholders through other mechanisms during the year.[285] For example, if a shareholder received a prospectus sticker discussing the change, the change would still appear in the annual report.[286] As a result, the annual report would be a general repository for the enumerated material

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[284] *See* Instruction 2 to proposed Item 27A(g) of Form N-1A. A fund would provide the internet address of the central site where a link to the fund's next prospectus will be available, if applicable, as well as a toll-free telephone number and, as applicable, the email address that shareholders can use to request copies of the fund's prospectus.

[285] However, the proposed rule would not require a fund to disclose a material change that it already disclosed in its last annual report. This could occur if, for example, a material change took place at the beginning of the last fiscal year before the fund transmitted the last annual report or the fund planned to make the material change in connection with its annual prospectus update for the last fiscal year. *See* Instruction 3 to proposed Item 27A(g) of Form N-1A.

[286] Under proposed rule 498B, a fund would need to timely notify existing shareholders of material fund changes. A fund also would have to disclose recent material changes in its annual report even if previously disclosed through a rule 498B notice. *See infra* Section II.F.3.b.

changes that occurred throughout the year. We believe it may be helpful for shareholders to be able to review a brief summary of all material changes that occurred during the year, instead of requiring shareholders to compile information from different sources if they want to understand all material changes for the year.

Along with changes that occurred since the beginning of the last fiscal year, the fund's annual report also would have to disclose material changes that the fund plans to make in connection with updating its prospectus for the current fiscal year. We are proposing this requirement so the annual report could be the primary disclosure source for fund shareholders, and they generally would not need to review the fund's annual prospectus update (other than to gather additional information about a particular fund change of interest). For example, we believe it would be more efficient for a shareholder to be able to review a single report to assess and monitor his or her fund investment, instead of receiving an annual report and then subsequently receiving an annual prospectus update or notice of additional material changes approximately two months later.[287] We understand that it is common for funds generally to be aware of material changes they plan to make in connection with updating their prospectuses before they transmit annual reports.[288] However, we recognize that the fund's associated post-

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[287] *See supra* footnote 20 and accompanying text; *infra* Section II.F.3.b (discussing a proposed requirement that a fund provide timely notices of material fund changes to shareholders if the fund relies on proposed rule 498B to no longer deliver prospectuses to its shareholders).

[288] A fund typically must file a post-effective amendment to its registration statement that includes material changes at least 60 days prior to the time the amendment is effective (that is, before the fund can use it), and a fund typically aims for the amendment to be effective within 120 days of its fiscal year-end. *See generally* rule 485 under the Securities Act [17 CFR 230.485]; *supra* footnote 20. As a result, we understand that funds typically have already prepared and filed these post-effective amendments within 60 days of fiscal year-end, before they must transmit annual reports under Commission rules. *See* rule 30e-1(c) under the Investment Company Act [17 CFR 270.30e-1(c)].

effective amendment making these changes to its prospectus may not be effective at the time the fund transmits its annual report and may be subject to the staff review process.[289] As a result, the manner in which the fund describes the change in its prospectus may be subject to modification at the time the fund is required to transmit an annual report. Under these circumstances, we believe it would be appropriate for a fund to provide only a high-level description of the change because the exact disclosure regarding the change in the prospectus could be subject to modification. The proposed legend that would accompany this disclosure would direct shareholders to the fund's next prospectus for additional detail, and the fund would need to provide a date by which it expects the updated prospectus to be available. In any event, a fund would not have to use the same language describing the change in its annual report as it uses in its prospectus (although neither description of the change would be permitted to be misleading).

We acknowledge that there could be scenarios where a material change occurs shortly before a fund transmits its annual report and, as a result, it would be difficult for the fund to disclose the material change in the annual report while still transmitting the report to shareholders within the required period (60 days after the fund's fiscal year-end).[290] For example, a fund's high-profile portfolio manager may resign shortly before the fund must transmit its annual report to shareholders. Under these circumstances, a fund (or intermediary) should provide a timely notice of the material change to shareholders under proposed rule

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[289] Generally, the staff reviews post-effective amendments to fund registration statement that contain material changes (other than certain specific routine items). *See generally* rule 485 under the Securities Act.

[290] *See* rule 30e-1(c) [17 CFR 270.30e-1].